Question 1: Solution

Review the following table.

Requirement 1: Evaluation of audit risk	Requirement 2: Further substantive procedures
Asset 123 has reduced in value by £50,000 in comparison to the expected depreciation charge of £16,159. The reduction in value may be theresult of an impairment recognised by management. **(1 mark)** However, there is a risk that the depreciation charge and any other reductions are not correct **(1 mark)** and PPE is understated. **(1 mark)**	Inspect management's impairment indicator assessment **(1 mark)** and, if indicators are noted, the results of management's impairment review as at 31/12/20X9 confirming any write-down of the Derby warehouse. **(1 mark)**
Asset 294 has been recorded twice in the fixed asset register. Two descriptions have been recorded which would appear to suggest that the new racking and shelving have been bought for both the distribution centres. **(1 mark)** However, there is a risk that the asset has been recorded twice in error or the incorrect value for one of the distribution centres **(1 mark)** has been recorded resulting in a misstatement. **(1 mark)**	Enquire with management if new racking and shelving were purchased and installed at both distribution centres. **(1 mark)** Inspect invoices for confirmation of delivery and installation of new racking, **(1 mark)** confirming date and location of installation and value. **(1 mark)**
Asset 335 has had a depreciation charge recorded lower than our expectation with a difference of £3,000. **(1 mark)** There is a risk that depreciation is being incorrectly applied to this asset **(1 mark)** which could result in an overstatement of PPE. **(1 mark)**	Inspect the invoice to confirm the cost of the asset **(1 mark)** and recalculate the depreciation rate based on management's estimate of useful life to confirm it has been calculated correctly. **(1 mark)**
Assets 412 and 413 relating to motor vehicles have been sold at a loss of £13,000 and £25,500 respectively. **(1 mark)** This may indicate that an inappropriate depreciation policy has been applied to these assets **(1 mark)** or there is a misappropriation of assets with management deliberately selling the vehicles at a reduced cost. **(1 mark)**	Agree proceeds for both assets to the sales invoice confirming the date of sale to a reputable third-party and receipt of monies per the company's bank statements. **(1 mark)** Enquire with management as to why assets were sold at a loss. **(1 mark)**
It is noted that the useful life of asset 594 is 7 years which is not in line with the company's depreciation policy. **(1 mark)** As a result, depreciation may be understated, **(1 mark)** resulting in PPE being overstated. **(1 mark)**	Enquire with management as to why the useful life recorded in the PPE asset register is not in line with the company's depreciation policy. **(1 mark)**

Question 2: Solution

Purchase agreement

- Inspect the purchase document and enquire of WS's lawyers **(1 mark)** to identify any terms or conditions of which the auditor has not been made aware. **(1 mark)**
- Inspect the purchase agreement **(1 mark)** to confirm that 100% of share capital was purchased andthe date that the transaction concluded. **(1 mark)**

Fair value of the consideration

£500,000 cash

- Inspect purchase document to agree consideration paid, **(1 mark)** and agree to bank statement to check that the amount has been appropriately recorded in the financial statements and that the cash was paid. **(1 mark)**

30,000 ordinary shares in WS valued at £10 each giving a total value of £300,000

- Inspect supporting purchase documentation to agree the number of shares issued **(1 mark)** and that theincrease is properly disclosed in the notes to the financial statements. **(1 mark)**
- Agree decision to increase in number of shares to inspected board minutes **(1 mark)** and increase in sharesissued to share register. **(1 mark)**
- Inspect share price calculations and assumptions **(1 mark)** to agree the value of £10 per share at 30 September 20X3. **(1 mark)**

Contingent consideration, based on estimated post-tax profits of JR for the year to 31 December 20X3, estimated to be £200,000

- Inspect the legal purchase document **(1 mark)** in order to confirm the basis of the payment. **(1 mark)**
- Inspect the calculation of any provision for reasonableness **(1 mark)** and agree correctly disclosed. If no provision has been made, consider the need to recognise a provision. **(1 mark)**
- Compare performance to date with projected results for possible understatement of future results. **(1 mark)**

Impairment Review

- Inspect the calculation of the fair values of assets and liabilities to confirm that these have been correctly calculated **(1 mark)** andthat expected future refurbishment costs have been excluded. **(1 mark)**
- Agree valuation of assets and liabilities to available independent professional valuations **(1 mark)** and consider using an auditor's expert to perform an independent valuation. **(1 mark)**
- Enquire regarding possible impairment of the investment with directors and review for any indicators of impairment. **(1 mark)**

Provision for £500,000 refurbishment costs

- Establish, from inspection of relevant evidence, **(1 mark)** whether or not there is a contractual obligation or a present obligation as a result of a past event for this refurbishment expenditure. **(1 mark)**
- Consider whether the accounting treatment is compliant with IAS 37 *Provisions, contingent liabilities and contingent assets*. **(1 mark)**